

**Segment 3 : Strategy Formulation, Implementation,
Evaluation, and Control**

Topic 3 : Strategy Evaluation

Topic 4 : Strategy Control

Table of Contents:

- 2.1 Introduction
 - Learning Objectives
- 2.2 Concept of Strategy Evaluation
 - Significance of Strategy Evaluation
 - Need for Strategy Evaluation
 - Basic Requirements of Strategy Evaluation
- 2.3 Process of Strategy Evaluation
 - Techniques of Strategy Evaluation
- 2.4 Strategy Control
 - Types of Strategic Control
 - Process of Strategic Control
- 2.5 Operational Control
 - Difference between Strategic Control and Operational Control
- 2.6 Concept of Synergy
- 2.7 Key Stakeholders Expectations
- 2.8 Summary
- 2.9 Glossary
- 2.10 Case Study

2.1 Introduction

In the earlier chapters, you learnt about formulating an organisational strategy and implementing the same. How can an organisation ensure that the strategy is working and will continue to do so? This can be solved with the help of strategic evaluation.

The purpose of the strategic evaluation and control process is to test the effectiveness of a strategy and take corrective action, when required, to keep the strategy effective. After formulating and implementing a strategy, there has to be a way of finding out whether or not the strategy is guiding the organisation towards its intended objective. Strategic evaluation and control process and performs the crucial task of keeping an organisation on the right track. A strategist will be able to evaluate and assess any performance issues. In the absence of such a mechanism, there would be no means to find out whether or not the strategy is producing the desired output.

Evaluation of a strategy is a phase of the strategic management process in which managers try to ensure that the chosen strategy is properly implemented and meets the organisation's objectives.

A control system is also required, which will provide timely feedback to managers so that they can take appropriate measures. These measures to evaluate and control the strategic process will ensure that the strategy works. You will now learn about the strategic evaluation and control framework and related concepts.

Learning Objectives:

After studying this topic, you will be able to:

- Explain the nature and significance of strategic evaluation and control
- Describe the process of strategic evaluation
- Review various techniques for exercising strategic evaluation
- Describe four types of strategic control
- Understand the concept of synergy in strategic management

2.2 Concept of Strategy Evaluation

Strategy evaluation is a process in which the effectiveness of a given strategy in achieving the organisational objective is tested. Corrective action is taken wherever required. Here, strategists assess how far the strategy has worked in achieving the intended organisational objectives. Senior management determines whether their selection of strategies has met the business objectives. Thereafter, corrective actions are initiated, if necessary.

Again, to sum it up, strategic evaluation is a process in which the effectiveness of a strategy is evaluated for its effectiveness in achieving the objectives of an organisation and taking corrective action if required.

2.2.1 Significance of Strategy Evaluation

Strategy evaluation is required for various reasons:

- **Getting Feedback:** An organisation needs to receive feedback on the current performance of the strategist so that good performance can be rewarded.
- **Check Validity:** Strategy evaluation helps to check the validity of a strategic choice made by an organisation. This is a continuous process. It provides feedback on the relevance of the strategies chosen and implemented.
- **Checking Decisions:** During the course of strategy implementation, managers make several decisions. Evaluation of the strategy helps to assess and check whether the decisions are matching with the intended strategy.
- **Concluding Implementation:** Through its controls, feedback, rewards, and reviews, the strategic evaluation process helps in a successful culmination of the strategic management process.
- **Creating Inputs:** Lastly, the process of strategic evaluation provides important information and experience to strategists that can be useful for new strategic planning.

2.2.2 Need of Strategy Evaluation

- Strategy evaluation is required to keep a check on the validity of the strategy chosen and implemented.

- It provides feedback on the continued relevance of the strategy implemented.
- It helps managers assess whether or not the requirements are being met.
- The process of strategic evaluation helps improve a strategy and gives feedback and improves a strategy.
- Strategy evaluation provides information, feedback and experience to strategists that can help in new strategic planning.

2.2.3 Basic Requirements of Strategy Evaluation

To be effective, strategy evaluation needs to meet certain basic requirements, which are as follows:

- The activities involved should be in line with the company's objectives.
- It should provide the necessary information in a timely manner.
- It should be done with normal controls.
- It should be designed to give a realistic picture of what is happening in the organisation.
- The process should not precede strategic decisions; it should promote understanding, trust, and action.

2.3 Process of Strategy Formulation

The process of strategy evaluation consists of the following steps:

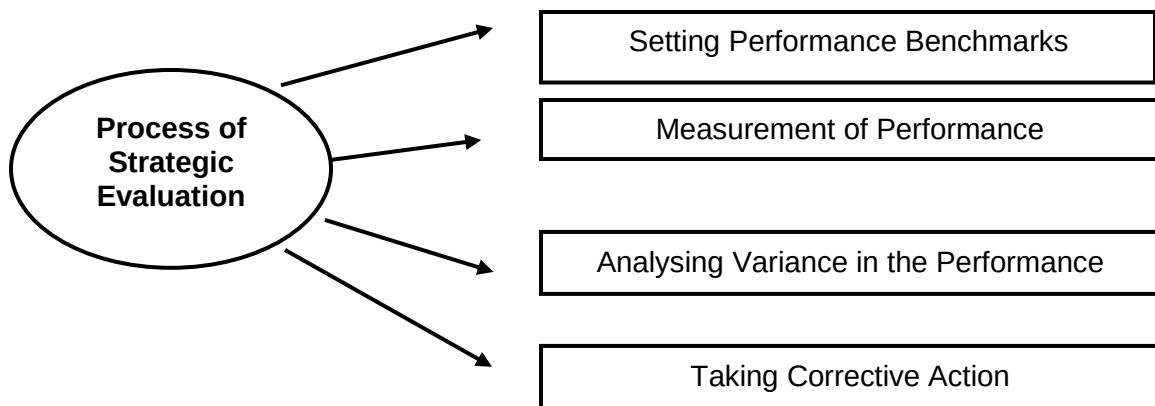


Fig 1: Process of Strategy Evaluation

Step1. Setting Performance Benchmark:

While setting benchmarks, or business standards, in an organisation, strategists are faced with questions, such as: what benchmarks should be set, how can they be set, and how should they be presented? To determine the performance of the required benchmarks, it is important to identify the specific requirements for performing the tasks which are required to achieve the objective of the organisation.

A performance indicator that identifies specific requirements may be determined and used for testing and evaluation.

Step2. Measurement of Performance:

The actual performance of a strategy is measured against the standard performance, which is a benchmark. To measure performance, reporting and communication systems are used. Strategic testing and evaluation become easier when the right methods of measuring performance are identified, and standards are set correctly.

Step 3. Analysing Variance in Performance:

While measuring actual performance and comparing it to the standard performance, variations may be found, which need to be analysed. Strategists also have to state the level of tolerance - the extent to which the difference between actual and standard performance can be accepted.

Step 4. Taking Corrective Actions:

If a performance deviation is detected, it is important to plan a corrective action. If performance is less than the required performance, strategists should carry out a detailed analysis of the factors that are affecting this performance. Standards should be lowered if strategists find that the organisational capacity does not meet operational requirements.

2.3.1 Techniques of Strategy Evaluation

As you learn, its performance must be measured to evaluate a strategy. This measurement will help evaluate the effectiveness and efficiency of strategic

decisions made to achieve business objectives. To be followed by taking corrective actions if the organisational goals have not been met.

Some of the most commonly used measurement tools and techniques are listed below:

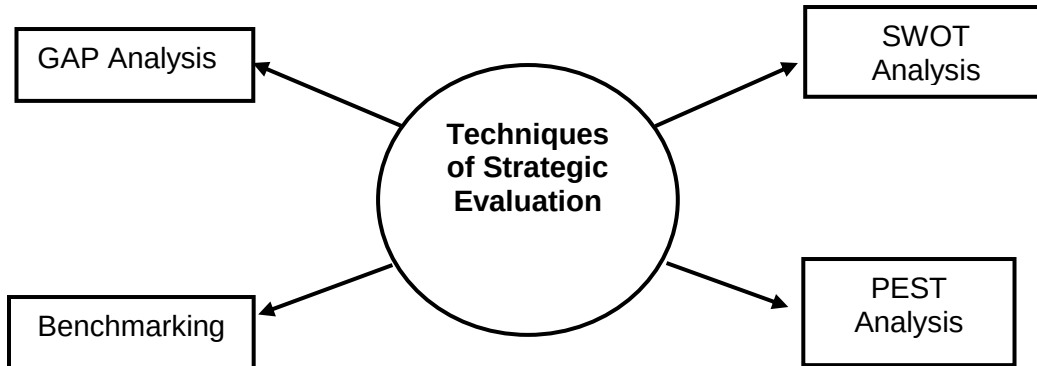


Fig 2: Techniques of Strategic Evaluation

A. Benchmarking:

The organisation must set a standard performance as a measure of actual performance measurement. Benchmarking is where the company's success is measured against other similar companies to discover if there is a gap in performance. It is a standard against which performance can be measured.

B. Gap Analysis:

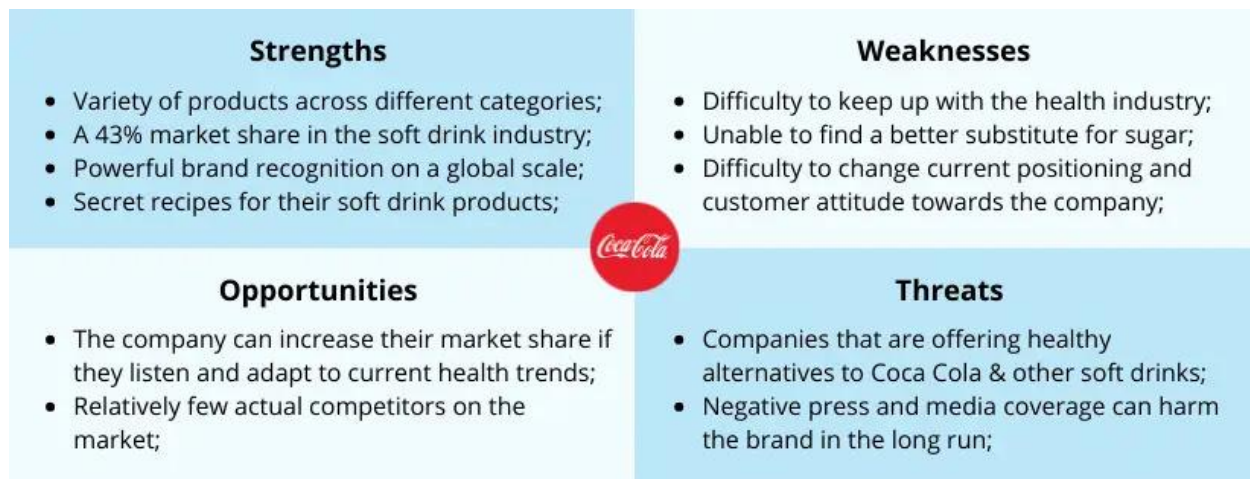
As the name suggests, it identifies existing gaps between the actual achievement and expected performance of an organisation. It is an evaluation of the difference between a business endeavour's best possible outcome and the actual outcome. It aims to determine what specific tasks an organisation can take to achieve a particular objective.

C. SWOT Analysis:

The term SWOT stands for organisational strengths, weaknesses, opportunities, and threats. This analysis reveals how and where a business stands in the marketplace. A business environment contains internal and

external areas. The analysis provides the internal perspective -- of the organisation's strengths and weaknesses. It provides the external perspective with the potential opportunities and threats present in the external environment.

SWOT analysis examples are this one from The Coca Cola Company.



Source: <https://mktoolboxsuite.com/swot-analysis-examples/>

D. PEST Analysis:

This technique is used for testing the strategic plan. A business environment is critical and complex in nature. PEST stands for the political, economic, social, and technological aspects that have a direct impact on business. These factors -- important in developing a strategy -- are also helpful in assessing the strategy's performance. Political factors include laws and regulations, legislatures, and environmental norms etc. Economic factors reflect the economic conditions prevailing in the market -- they help assess opportunities and threats. Social factors show customer behaviour and value patterns.

2.4 Strategic Control

Strategic controls are intended to guide a company in a rapidly changing environment. In this process, the strategy -- already implemented and evaluated -- needs to be assessed for problems and deviations from intended

objectives. Changes in structures and making necessary adjustments and repairs may be required.

In contrast to post-control, strategic control is about controlling and directing efforts before a strategy can be fully implemented. The controls are set up on the basis of many assumptions, such as the business environmental conditions, which are dynamic and eventful. Strategic control is a forward-looking and preventive exercise.

2.4.1 Types of Strategic Control

The four basic types of strategic control are:

A. Premise Control

Basically, all strategies are based on certain premises or assumptions about the business environment and the organisation's conditions. Changes in some of these conditions can majorly affect a strategy. Strategic control is needed to identify key assumptions and track them to assess their impact on strategies. Factors that may affect a strategy are as follows:

- External environmental factors, such as favourable/unfavourable government policies
- Industrial factors, such as changes in competition
- Organisational resources, such as expected research initiatives

B. Implementation Control

Strategic implementation leads to a series of plans, programs, and projects requiring significant resource allocation. Implementing programs aims to evaluate an organisation's plans and projects that vis-a-vis its stated goals.

C. Strategic Surveillance

Strategic surveillance has a wider approach, designed to monitor broader events within and outside a company that may threaten the company's strategic course. Strategic surveillance can be done through a number of observations on the basis of selected sources of

information to identify events that may affect an organisation's strategies.

D. Special Alert Control

The type of strategic control is based on alerting a rapid response and reassessing strategies quickly due to sudden and unexpected events. Special monitoring controls can be used to develop contingency strategies. Responsibilities can be delegated for handling unforeseen events for crisis management. The events may be: a sudden collapse of the government, a fast change in the competitive environment, an unfortunate industrial disaster, a breach of information security, or a natural disaster.

2.4.2 Process of Strategic Control

Strategic controls are the process of monitoring and reviewing the effectiveness of a strategy and ensure the strategy stays in control to meet the desired objectives of an organisation. The control process entails problem identification and remediation actions whenever needed. In other words, it describes the control system for efficient and effective implementation.

The strategic process of controlling is as follows:

Step 1: Establish Performance Standards

Step 2: Measurement of Organisational Performance

Step 3: Analysing Variance

Step 4: Evaluating the deviation

Step 5: Taking Corrective Action

Step 1. Establish Performance Standards:

This is the first step in the control process. The organisation has to set performance standards and levels against which actual performance can be assessed. The standards should be set precisely, and these should be realistic and achievable. Some important standards against which the performance could be measured are as follows:

- **Time:** Here, it refers to the time taken to complete a goal, task, or objective of the organisation. It can be measured as production or sales per unit, or the number of sales made in a given time frame, etc.
- **Cost:** This refers to the expenditure involved per unit of activity. It can be the cost of the material per unit, the cost of distribution, or the sales cost per measure of the sales call.
- **Revenue:** This could be monthly sales, sales made by sales managers annually etc.
- **Market Share:** Emphasis is placed on increasing market share. For example, a company wants to increase its market share by 5% over the next five years.
- **Return on Investment:** This indicator shows various business operations, such as sales revenue, working capital, production costs, and operating costs, in comparison with investments made. This will bring out the return on investment.

Step 2. Measurement of Organisational Performance:

After the goals or objectives of an organisation are finalised, the next step in the controlling process is of measuring the actual achieved performance vis-a-vis the intended goals or objectives of the organisation.

It is one of the most difficult tasks to measure the actual performance of a strategy. There are various ways to measure the efficiency and effectiveness of a strategy. Strategists need to decide what to measure, how to measure, when to measure, or whether to measure continuously or periodically, etc. Some of the techniques of measurement are as follows:

- **Financial Measures:** Shows the financial position of a business organisation. It includes various scales and the relationship of business variables with each other.
- **Production Methods:** This refers to the effect of operations on production. It includes pre controls, simultaneous controls, and post-control measures.
- **Marketing Measures:** There are five categories to measure marketing performance:
 - Sales analysis

- Market share analysis
- Marketing expenses to sales ratio
- Customer attitude tracking
- Efficiency analysis

Step 3: Analysing Variance:

In this step, the variation in the performance is being realised. The organisation tends to find out how the organisation has performed or is there any gap between the actual and expected performance. Also, the reasons and causes of variations are being identified.

Step 4. Evaluating Deviations:

It is important to take immediate action to correct identified deviations. The reasons should be investigated. The aim is to find the cause of the errors or problems to prevent these from reoccurring in future.

Deviations can be positive or negative. The positive deviations can be the achievement of targets before schedule or on lesser budgets than planned. Negative deviations can be of products or services turning out to be of lower quality or quantity than standards, missing schedules of production, which may have increased estimated costs.

Step 5. Taking Corrective Action:

After analysis and investigation, final steps need to be taken for corrective actions or a remedy of the problem. The corrective action should consider the internal and external environment of the business. It should be as per the corporate culture, philosophy, trade unions, rules, and regulations, etc.

2.5 Operational Control

Evaluation and assessment work on two levels: strategic and operational. Now, let's explore operational control. Operational control involves control over daily operations and processes --but not business strategies.

Operational performance indicates the performance of organisational units, such as divisions, strategic business entities, etc., in terms of their contribution to achieving the organisation's goals. Therefore, an operational control system is designed to ensure daily operations, or tasks, are consistent

with established plans and objectives. It focuses mainly on recent events. It is based on the requirements of the management control system.

Unlike strategic control, operational efficiency focuses more on internal sources of information and affects smaller units or organisational features, such as production standards or equipment selection. Errors in operational control may mean failure to complete projects on time. For example, if retailers are not trained in time, sales revenue could fall.

2.5.1. Difference Between Strategic Control And Operational Control

Bases of Difference	Strategic Control	Operational Control
Meaning	Strategic control is the process of regularly evaluating a strategy as it is implemented and taking the necessary remedial measures.	Operational control or task control is the process of evaluating and adjusting the performance of various organisational units to evaluate their contribution to the achievement of organisational goals.
Basic Concern	Are we moving in the right direction?	How are we performing?
Main Concern	Steering an organisation's future direction.	Action control
Focus	External organisational environment	Internal organisational environment
Time Horizon	Long term	Short term
Exercise of Control	Exclusively by top management. They may take the lower-level support.	Mainly by mid-level management on the direction of the top management.
Main Techniques	Environmental scanning, information gathering, questioning, and review.	Budgets, schedules, and Management by Objective.

2.6 Concept of Synergy

Synergy defines the benefits for a business through organised planning to increase collaboration and innovation. In simple terms, a collaborative organisation gains more as a group as compared to individually. Increasing collaboration requires a careful analysis of an organisation's current strategies to identify the best ways to do business.

Many businesses around the world carry out partnerships. Boardrooms are full of ideas about how to work together effectively. Groups of affiliated businesses are set up to improve important account systems, coordinate product development, and expand best practices. Synergy is the idea that the value and performance of two combined companies will be greater than the sum of the individual parts. Synergy is a term widely used in the context of mergers, acquisitions, strategic partnerships, joint ventures, franchises, etc. The reason for forming a strategic alliance is often given that two different companies together make a higher value compared to each one on its own.

Synergy is also defined as $1 + 1 = 3$, or it could be even more. Synergy is when the total amount is more than the sum of its individual components. It is broadly of three types:

A. Operating Synergy:

This is when the combined value of two firms is greater than the total number of contributions of individual firms. When the combined firm allows individual firms to increase their operating revenue and achieve higher growth, it is called Operating Synergy. Operating synergies that are acquired through mergers, acquisitions, or takeovers. A company is acquired, especially when it has higher competencies in any or more than one of the various fields such as manufacturing, research and development, or marketing and finance – and can help achieve operational efficiency.

B. Financial Synergy:

Financial cooperation is often the driving force behind mergers and acquisitions and strategic partnerships. These types of synergies stem from improvements in a combined business's financial metrics, such as

income, credit potential, financial costs, profits, etc. Examples of good financial engagement include increased revenue on a large customer base, lower costs through consistent performance, and compatibility of talent and technology.

C. Marketing Synergy:

Marketing synergy means that integration of the markets of the companies involved creates new opportunities, increases in revenue or other benefits. For example, it is possible to increase sales revenue without making extensive investments by taking advantage of the opportunity to maximise the use of existing marketing and distribution resources. Hero Honda Ltd. was a joint venture between India's Hero Cycles and Japan's Honda Motor. Hero Cycle's long experience with Indian road conditions, including Indian and urban customers, is fully integrated with Honda Motor's high technology capabilities. This resulted in producing the most economical and durable motorcycle for Indian customers in 1985. The partnership lasted for 26 years.

2.7 Key Stakeholder Expectations

In any business, stakeholders are most concerned with two key aspects: profit generated and capital invested.

- **Profit:**

Profit serves as oxygen to any organisation. The increase in profit percentage is reflected in the company's continued growth. Profit usually means annual profits in rupees to annual accounts, and the company reports in its end-of-year data. Another important type of benefit is economic gain. Economic profitability refers to the returns to a company.

- **Capital:**

The core capital usually comes from two sources: lenders and shareholders. The first source of capital funds comes from lenders like financial institutions and banks. This has a fixed interest or return, so there are no risks involved.

The other source of capital funds comes from investments from preference shareholders and equity shareholders. The shareholders are the owners of the company. Preference shareholders receive a pre-determined dividend before allocating the dividend to equity shareholders.

Expectations of Shareholders

Stakeholders not only expect growth of their investments in a company but also expect the following from the company:

- Change of strategies as the market changes
- Transparency of functioning
- Good management practices across all levels
- Fair market practices
- A healthy and consistent bottom line
- Positive reputation, goodwill, and product image
- Appropriate testing, measurements, and management controls
- Following of social and environmental responsibilities

2.8 Summary

Let us recapitulate the important concepts discussed in this topic:

- To conduct strategy evaluation, strategists and managers should follow the following steps sequentially: Setting Benchmarks, measuring performance, analysing variance in performance, and taking corrective action.
- There are various techniques available for the evaluation of a strategy. Some commonly used are GAP analysis, SWOT analysis, PEST analysis, and Benchmarking.
- Evaluation and assessment work on two levels: strategic and operational. Strategic control is aimed at continuous assessment of the changing environment to check that a strategy is working as planned. It can be implemented through premise control, implementation control, strategic surveillance control and special alert control.
- Operational control is focused on real-time action testing. The control

process consists of four steps: First, establishing standards against which the performance will be measured. Second, measuring organisational performance. Next, selecting the technique for analysing variances. Lastly, compare current performance with strategy by comparing actual performance with standards; (d) Evaluate the deviation and (d) take corrective action by evaluating normal performance and performance and reorganising strategies, plans and objectives.

- Synergy defines the benefits a business gains through organised planning, innovation, and, more importantly, by increasing collaboration with another firm. In simple terms, a collaborative organisation gains more as a group as compared to individually. Increasing collaboration requires a careful analysis of an organisation's current strategies to identify the best ways to do business with another organisation to create synergy.

2.9 Glossary

Let us have an overview of the important terms mentioned in the topic:

- **Earnings per share:** Earnings per share (EPS) is calculated as the profits of a company divided into outstanding shares in its common stock. The emerging number serves as an indicator of the company's profitability.
- **Market Share:** The market share is the percentage of total sales in the industry made by a particular company. It is calculated by taking the company's sales over a period of time and then dividing them by total industry sales at the same time.
- **Operations:** Operations refer to business practices and activities that create the highest level of efficiency within an organisation. All these activities are involved in converting raw materials into the final product for customers.
- **Return on Investment:** Return on investment (ROI) is a method used to assess the effectiveness and profitability of an investment made into a business process or project. It may also be used to compare the efficiency of a number of investments. An ROI attempts to accurately measure the

amount of financial return on a particular investment in relation to the investment made.

- **Stakeholders:** A person or a group that has an interest in the company and may be affected by or can affect a business. The main stakeholders in a typical organisation are its investors, employees, customers, and suppliers.
- **Working Capital Management:** Working capital management is a business strategy designed to ensure that a company operates efficiently by monitoring and using its current assets and liabilities to the best effect.

2.10 Case Study

Clean Head Limited: Pricing Strategy

Companies today strive to make their products affordable to consumers enmasse, as part of their growth strategy. Two years ago, Clean Head Limited, a shampoo manufacturer, started selling their shampoo in a new small-sized bottle at an affordable price of Rupees 10 for a 40 ml bottle. The price of 100 ml and 200 ml bottles were retained at rupees 45 and 80, respectively. The product was aggressively used in small and mofussil towns. However, the company expected existing customers to continue buying their bigger bottles. Finding these to be convenient. Contrary to their expectations, big cities also witnessed a shift towards smaller-sized bottles. There was some increase in the sales volumes, but the profit margins went low, and the overall profits reduced tremendously. Moreover, the turnover did not increase as forecasted.

Management Dilemma: The chairman of the company called a meeting of all the functional heads and made the following observations:

"We have to chart out long-term strategies for our company. At this moment, sustainable but profitable growth is sacrosanct for us. But may prove to be elusive. We are not in a position to offer lower-priced shampoos with declining profits. If we continue like this, gradually, the company may start incurring losses. Our competitors have also followed us by reducing their prices. My dilemma is, if we roll back our prices, our competitors may not do so."

Source: *Strategic Management, The Institute of Chartered Accountant of India*

Discussion Questions:

1. What went wrong? Give your assessment of the situation.
2. How do competitors affect internal decisions?
3. What is the strategy used by Clean Head Limited?

SWOT analysis refers to the analysis of the organisation's ____.

- a) Strength, Weakness, Opportunities, Threats

References and Suggested Reading

- Kazmi, A., Kazmi, A. (2015). Strategic Management, 4th Ed. : McGraw-Hill Education (India) Pvt. Ltd.
- Lawrence R. Jauch, Rajiv Gupta & William F Glueck., (2004). Business Policy and Strategic Management: Frank Bros. & Co. Ltd.

E-References

- Strategic Control Process viewed on 25April 2021,
<<https://www.mbaknol.com/strategic-management/strategic-control-process/>>
- Strategic Control, viewed on 24 February 2021,
<<https://www.yourarticlelibrary.com/strategic-management/strategic-control/99745>>